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FROM TOKYO TO FOREIGN OFFICE

Sir E. Dening.
No. 1623
15th November, 1951

D. 8.19 p.m. 15th November, 1951
R. 10.10 a.m. 16th November, 1951

PRIORITY
SECRET

FJ 10310/18

Addressed to Foreign Office telegram No. 1623 of 15th November.
Repeated for information Saving to:- Washington,
Peking,
Tamsui,
Singapore.

Your telegram No. 1334. [FJ 10310]

Formosa.

I see no objection to the wording of the memorandum of understanding provided there is complete agreement between us and the Americans what we mean by the regularising of Japan's relations with the authorities in Formosa. But it seems to me that Mr. Dulles wants to go much further than I think would be advisable in the present state of affairs.

2. Everything which has happened here since the peace treaty was signed, points to the fact, first that the Japanese Government will wish to make a reality of its exercise of sovereignty in determining its relations with other Powers when the treaty comes into force, and secondly that the Prime Minister is anxious not to embroil himself in advance with Communist China or the Soviet Union. In so doing, I consider that Mr. Yoshida reflects the bulk of public opinion. I also think that from Japan's point of view it makes good sense. In these circumstances I think it very probable that left to themselves the Japanese will seek to establish a friendly modus vivendi with Chiang Kai-shek and that they will not go much further without undue pressure from the United States or from Chiang Kai-shek himself with United States support. Such pressure, if it is exercised, would almost certainly leak and would have a profound effect upon the Japanese people. The

/discussion

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discussion of the peace treaty in both Chambers of the Diet has shown that the Japanese are very sensitive to the degree of dictation which they suspect underlies the security pact. The press has echoed these suspicions and there have recently been students demonstrations in Kyoto, one of which took place when the Emperor visited Kyoto University. It would be unwise to disregard these symptoms. It would also, I think, be inadvisable to exercise pressure upon the Japanese to conclude any kind of treaty or agreement with Chiang Kai-shek which will prejudice Japan's future relations with China proper. Any attempt to force Japan into picking a quarrel with China would be likely to produce a result quite contrary to what both we and the Americans wish.

3. I am not surprised at the reactions which some of Mr. Yoshida's remarks produced in the United States and I think he might well have avoided making the statements which suggested that he would be prepared to enter into some kind of relationship with Communist China. But I think he was responding to a very real fear which exists in this country that the peace treaty and the security pact may invite the open hostility of Japan's continental neighbours. I do not think it would be at all difficult however to persuade Mr. Yoshida of the inadvisability of taking any active steps to implement his somewhat vague replies to questions in the Diet Committees (which are without notice and consequently result in improvised answers) about Communist China.

4. I submit that we should not lend our assistance in any move which is likely to bolster up the position of Chiang Kai-shek, because we will lose such influence as we have with the Japanese if we do. I take it that we do not share the view of certain Americans (though not of Mr. Dulles himself last summer) that Chiang is still a starter in the China stakes. There are some Americans who say that, if only more money had been put on him, he would have won last time, but this is to ignore the fact that races are won as a result of the qualities of those who win them and not because of the money put on them. It is one thing for the Americans to put their money on a non-starter, for they have plenty of it, but it is quite another

/to force

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to force Japan in her present state of poverty to follow suit. I am by no means sure that the Japanese would respond to American pressure except under the threat of sanctions, which could only in the long run produce results far from those we desire.

5. I think the Japanese, who have agreed to the establishment of an overseas agency at Taipeh where Mr. Kimura is expected to proceed on November 30th, would presumably agree to the establishment by the Nationalists of a similar agency in Tokyo when the functions of the present Chinese Mission come to an end with the entry into force of the Treaty. They would also no doubt be willing to negotiate matters of trade and commerce and relating to the entry and residence of their respective nationals. That should regularise the position for all practical purposes but if they are foolish enough to want to go further and make a treaty with Chiang Kai-shek, that is their affair and we should be ready to assure the Americans that we would take no active steps to dissuade them. We could also, if it is thought desirable, assure the Americans that we would use our influence to dissuade Japan should she show any signs of wanting to establish relations with the Central People's Government. But further than that I do not think either we or the Americans should go if we want to exercise that degree of influence over Japan in the future which will keep her on our side. For that in the long run is the most important issue of all and it is by no means assured yet.

Foreign Office please repeat to Washington as my telegram No. 384 Saving.

[Repeated to Washington].

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